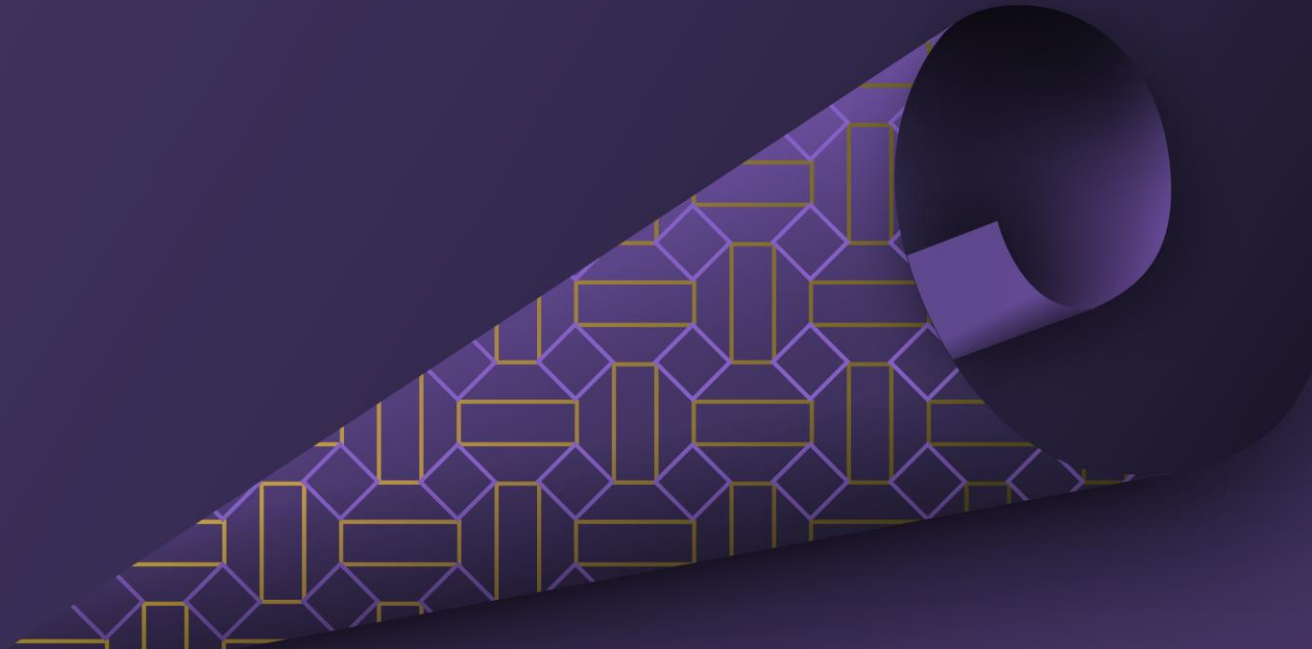


Performance Max for holiday

August 2025

 Microsoft Advertising



Performance Max for holiday

Agenda

1

**Performance Max introduction
and PMax on Copilot**

2

***Tactical optimization timeline:*
August to September**

3

***Tactical optimization timeline:*
October**

4

***Tactical optimization timeline:*
November to December**

5

Appendix

Performance Max

Maximize your results, as you define it, with one AI-powered campaign across all Microsoft inventory



Drive more results

Drive net-new conversions and capture more high-ROI conversion opportunities, and get clear insights into what's driving performance.

Optimize with Microsoft AI

You architect the strategy to effectively reach your highest-performing audiences, and Microsoft's AI-powered multi-format, cross-channel optimization does the rest to maximize your ROI.

Scale with a unified campaign

Tap into inventory and opportunities often missed with siloed campaign setups, and reach high-value audiences across Microsoft properties, including Copilot.

Note: video asset integration coming in the future

Performance Max + Copilot: the best of our predictive AI and Generative AI together

Text ads

What are the top sushi restaurants near me? I'm looking for something authentic

Here are some top sushi restaurants in Austin that offer authentic and delicious experiences:

- 1. Uchi Austin:** Founded by James Beard Award-winning Chef Tyson Cole, Uchi offers non-traditional Japanese cuisine with signature tastings, sushi, and seasonal omakase. It's known for its elevated food and impeccable service.
- 2. Lucky Robot:** This is the first sustainable sushi restaurant in Texas, recognized by the James Beard Foundation's Smart Catch Program. They source their ingredients from local farms and cooperatives, ensuring high environmental and sustainability standards.
- 3. Uchiko Austin:** Originating from the famed Uchi restaurant, Uchiko specializes in upscale sushi, cool tastings, omakase, and small plates in a farmhouse-chic space. It's another creation by Chef Tyson Cole.

These spots should give you a great start on your sushi adventure in Austin! Do any of these sound like what you're looking for?

Microsoft Advertising

If you want to ensure you get a table at your preferred time, you might want to book a table beforehand. Here's a link from Contoso to help you book your place in top Austin sushi restaurants.

Sponsored

Book Now on Contoso and Secure Your Spot at Austin's Top Sushi Restaurants.

 Reserve with Contoso on Top Sushi Restaurants
Contoso.com



 + Message Copilot 

Feed-based ads

I'm attending a party next April and the dress code is "elegant early 2000s", what do you think I could dress like?

Alright, let's channel that early 2000s chic. Think of timeless icons like Gwyneth Paltrow and Kate Moss. Here's the vibe:

- **Dresses:** Go for a slip dress with delicate straps or a sleek halter-neck dress. Satin or silk fabrics are perfect for that era's elegance.
- **Shoes:** Strappy heels or delicate sandals to keep it classy and stylish.
- **Accessories:** Small shoulder bags, chokers, and minimalistic jewelry to complement the look. Maybe even a touch of glitter on the eyes for that subtle glam.

You're going to nail it. Ready to strut down memory lane?

Microsoft Advertising

Here are some inspiring picks for an early 2000s party look in spring. Depending on what you're looking for you can go for colorful and airy, or maybe you prefer a two-piece suit that's more formal.

Sponsored



Satin Kimono Midi Dress
119.97 \$154
Contoso.com



Black and White Midi Dress Angel...
\$87
Fabrikam



Halter Tie Neck Midi Dress in Pleat
\$122.99
Contoso.com



Muse Dropped Hem Mini Dress
\$155.97
Contoso.com



Classic Wo
\$176.50
Fabrikam

 + Message Copilot 

Multimedia ads

What vacation rentals would you recommend in Leavenworth?

Leavenworth is such a charming place, like stepping right into Bavaria! Here are a few vacation rentals to consider:

- 1. Icicle Village Resort:** A great spot with a nice balance of comfort and amenities. Perfect for families or couples.
- 2. Sleeping Lady Mountain Resort:** If you're into eco-friendly stays and a more rustic vibe, this place has cozy cabins and beautiful scenery.
- 3. Pine River Ranch:** Offers a more romantic and secluded setting, ideal for couples looking for a quiet getaway.
- 4. Haus Hanika:** Right on the river and only a short walk to downtown. It has that authentic Bavarian feel.

Each of these places has its own charm and appeal, depending on what kind of experience you're after. How does that sound?

Microsoft Advertising

Contoso.com may be worth considering: with its unique rentals, easy booking, and verified reviews, you're sure to find the perfect stay in the charming Bavarian village of Leavenworth. Discover your ideal getaway today.



Sponsored

Book your Hotel in Leavenworth WA online with no reservation costs. Benefit from great rates.

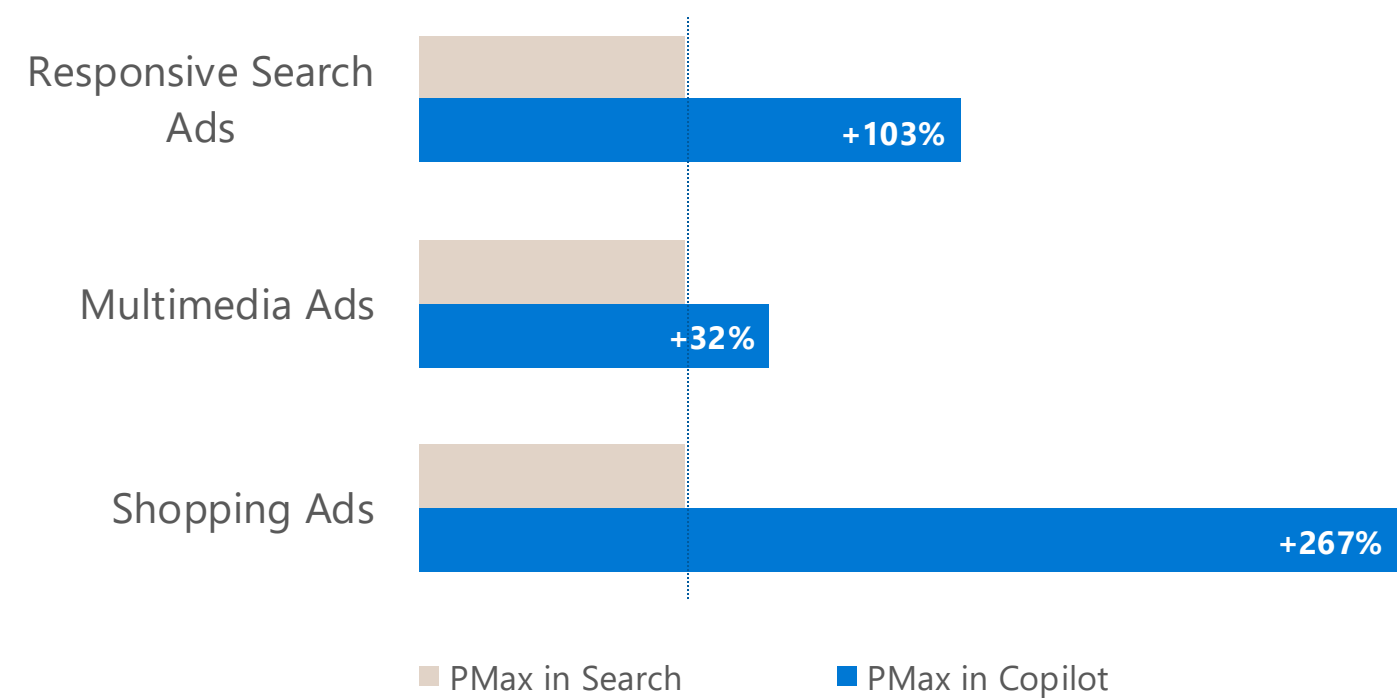
 Leavenworth Vacation Rentals | Book with Contoso
<https://www.contoso.com>

Book Now

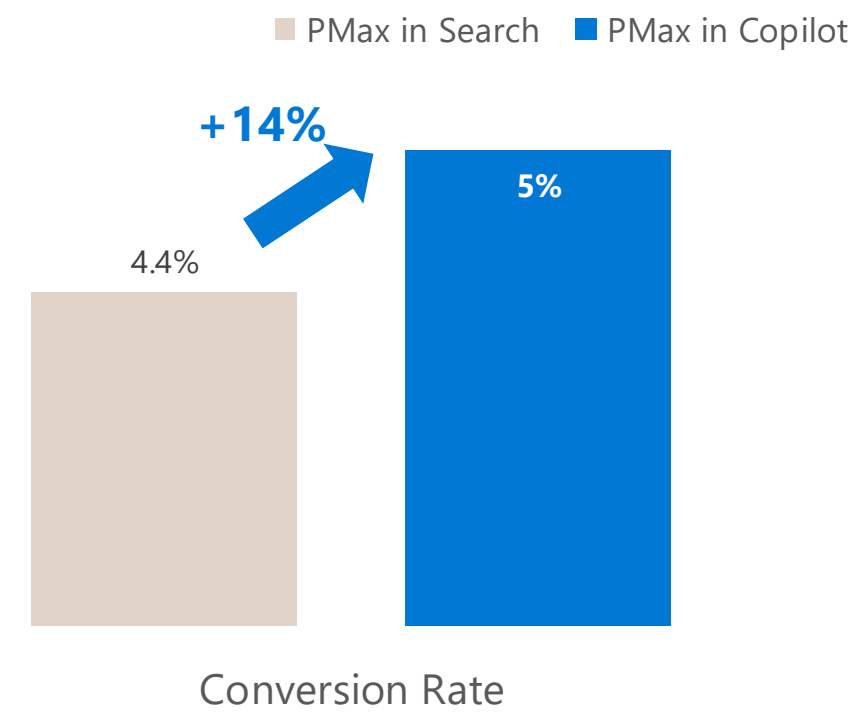
 + Message Copilot 

PMax boosts your visibility in Copilot placements by **2.8x**, and also drives higher engagement:

Click Through Rates of PMax Campaign Ads in Copilot vs. in Search



Conversion Rates of Copilot Ads vs. Search Ads

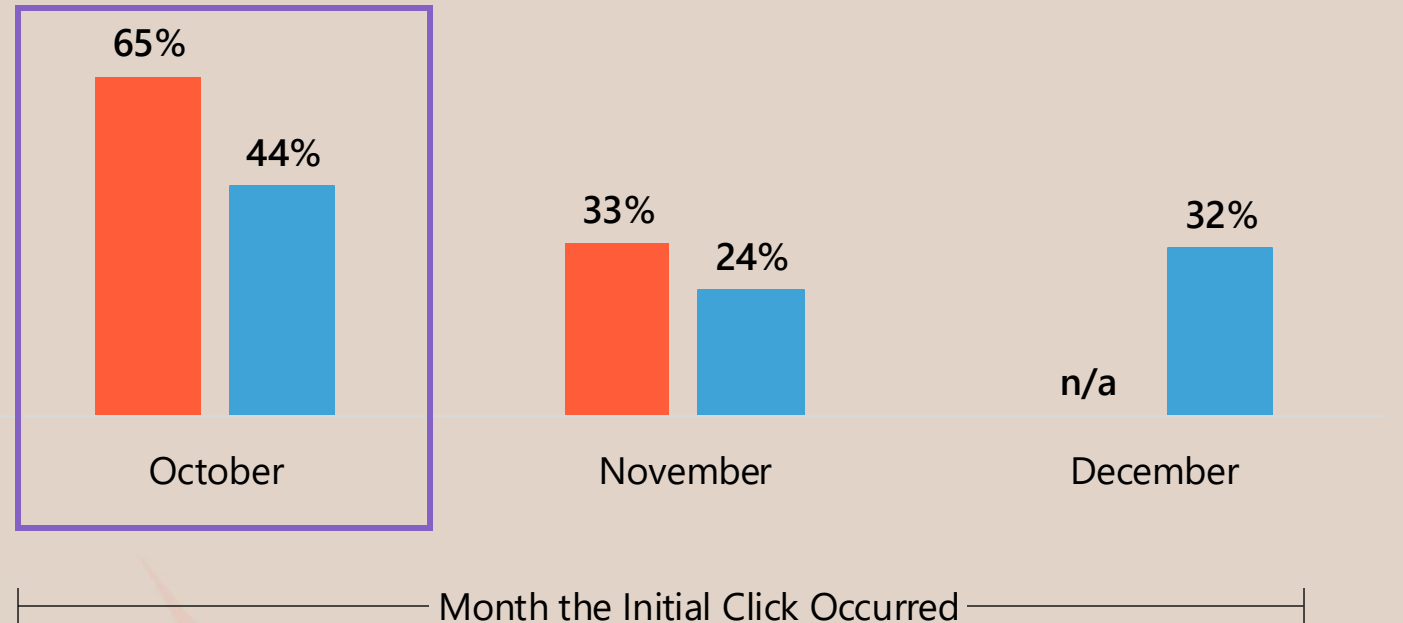


Holiday conversions come from October clicks, so ensuring you're set up for success early is important

■ November Conversions ■ December Conversions

Looking at a sample of nearly 500K user paths from last season, **65% and 44% of Nov and Dec conversions stem from clicks occurring in Oct**, respectively.

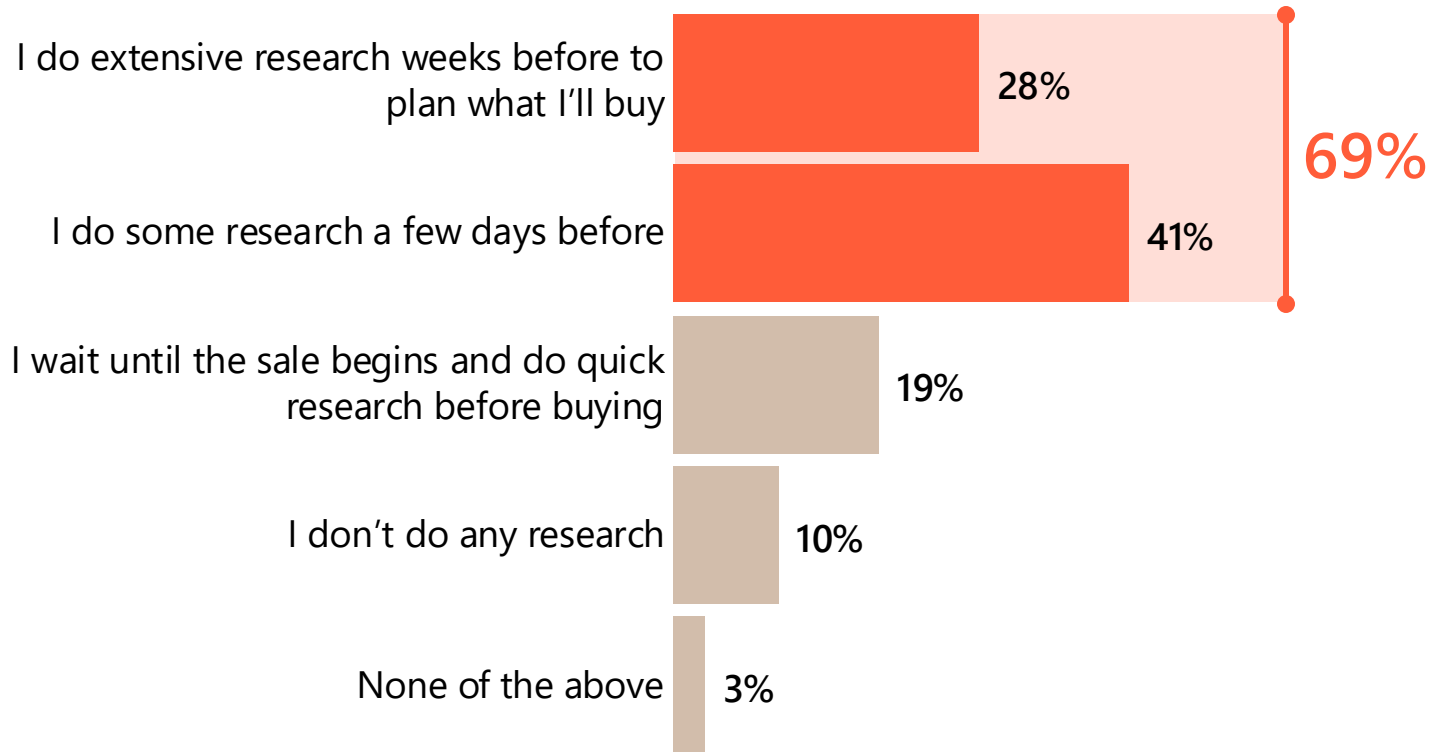
- ✓ Take advantage of cheaper CPCs and optimize your program toward driving site traffic, building remarketing lists for holiday prioritization.



Nearly 70% of consumers do their BF/CM research ahead of time

- ✓ Activate omnichannel tactics like Performance Max early on to help bring users down the conversion funnel this season.

QQ: Which of the following statements best describes how you approach researching products for a shopping event, such as Black Friday (BF) or Cyber Monday (CM)?
%respondents



Performance Max for Short-Term Promotions

Performance Max is great for throughout the holiday season and is also our recommended campaign type to use for short-term promotions (e.g. same day offers on Black Friday or Cyber Monday).

For limited time promotions on Performance Max, follow these best practices:

- Create your short-term promotions (campaign or asset group) *within an existing account* for fast ramp.
 - A separate campaign could be preferred as there isn't a way to weight "holiday" asset groups.
- Make sure conversion tracking is accurate and choose an **existing conversion goal** (with at least 2 weeks of history). If you are using offline conversions, make sure they are being uploaded regularly.
- Make sure your **feed is healthy** (e.g. ensuring all products have a GTIN, correct pricing, etc.) and note there's a 72-hour ramp for feeds.
- For new assets, **try to launch as early as possible**.
 - Upload your assets as paused at least 48 hours in advance to ensure it can first go through editorial approvals.
 - Set your assets active as early as you can to optimize for best performance. Our system can take up to 1 day to ramp fully for all ad types.

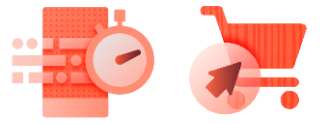
Performance Max for Short-Term Promotions (cont.)

Performance Max is great for throughout the holiday season and is also our recommended campaign type to use for short-term promotions (e.g. same day offers on Black Friday or Cyber Monday).

For limited time promotions on Performance Max, follow these best practices:

- To capture incremental traffic, **make sure you've added more budget and are not budget constrained.**
- **Search themes are a must** for your Performance Max campaigns. Add in diverse sets of top-volume search queries from the search term insights report and/or new products and promotions. Refreshing and adding new search themes will act as additional signal and will not limit your volume.
- Take advantage of **seasonal in-market audiences** (Black Friday, Christmas holiday, etc.)
- Leverage **seasonality adjustments** and **conversion value rules** (*more details below*).

If an advertiser does not have conversion goals, you can use other campaign types (search, audience) with Maximize Clicks or Enhanced CPC strategies. In these cases, make sure to use merchant promotions, promotion extensions, price extensions, sitelinks, callouts, image extensions, and countdown customizers.



What are the best practices for bid strategies?

If conversion tracking is set up, use conversion-based bid strategies such as (Maximize Conversions, Maximize Conversion Value, Target CPA, Target ROAS. For offline conversions, make sure you upload conversions in a timely manner for models to adapt accordingly.

If you do not have conversions set up OR your primary goal is to drive traffic to your page, consider using **Enhanced CPC or Max Clicks** in an alternative campaign type which can be controlled at the ad group level.

Ensure you add sufficient budget and budget is not constrained, giving the system the flexibility to capture maximum volume.

We also support other features which can help drive incremental volume for short-term periods for conversion-based strategies including:

Seasonality adjustments – this helps inform automated bidding algorithms' bids when you can anticipate conversion rate changes.

([Seasonality adjustments for auto-bidding](#))

Conversion value rules – ROAS advertisers can apply additive or multiplicative override to their conversion value prediction, which also directly results in bid increase or decrease. ([Conversion value rules](#))

Are any campaign types or bid strategies optimal for ramp up time?

Performance Max will have the same ramp time as other campaign types – there is no difference in learning speed for PMax. If you set up a new campaign with an existing conversion goal, it should have the same ramp-up time regardless of bid strategy.

What are the expectations for ramp time for all ad types (MMA, RSA, PMax, Audience ads)?

For non-feed assets, our system can take up to 1 day to ramp fully.

What are the expectations for new assets in shopping feeds?

There is a 72-hour ramp for feeds. If you're looking to fast-track this, please reach out to Support.

Note: If you have both feed and non-feed assets, it's recommended to have them combined in one Performance Max campaign.

What are best practices to ensure the quickest ramp time for short-term promotions?

There are two elements: assets going through editorial checks and having your assets starting to serve:

For editorial checks: add your creative assets ideally as early as possible, at least 48 hours in advance so that they can get approved (*you're free to leave them paused if you don't want them serving right away*)

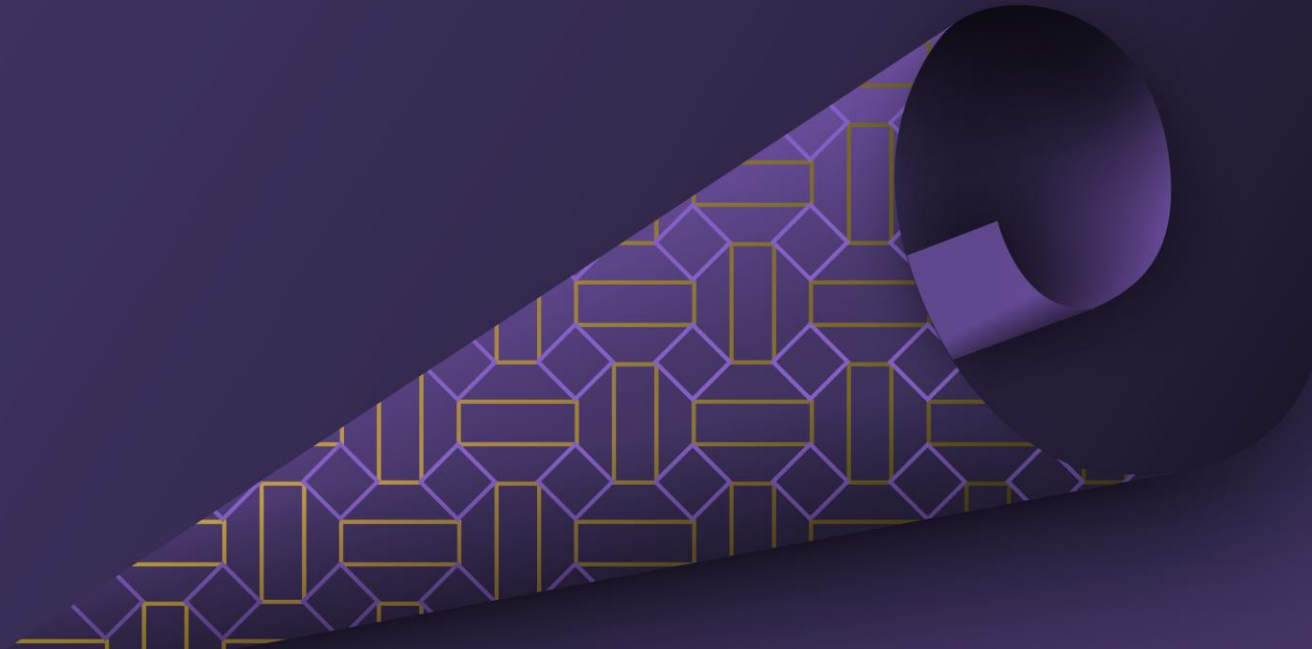
To have your new assets start serving: activate the campaign and creatives early enough (at least 1 day ahead of the event) so the system has time to ramp (even if minimal ramp) and you capture early volume.

Tactical optimization timeline

August to September

October

November to December



PMax checklist for optimization

Asset Groups

- ☐ Build new sales/product asset groups to avoid disruption on evergreen products.
- ☐ Update headlines, descriptions and images to include any promotions.
- ☐ Utilize Ads Studio, update image assets with seasonal backgrounds.
- ☐ Assess product images, include seasonal images if relevant.

Bidding Strategy

- ☐ Consider lowering your Target ROAS to allow further volumes and account for the increased competition.
- ☐ Create seasonality adjustments- get setup for success in the days leading up to, during, and right after key holidays

Budget Allotment

- ☐ Use budget estimator, compare historical budgets & performance.

Search Themes

- ☐ Add top-volume search queries from insights and/or new products or promotions as search themes to PMax campaigns.

Audience Signals

Use Audience Signals to inform the algo on valuable traffic. Layer in "similar to converters", relevant In Market Segments and 1P data.

- ☐ If struggling to scale new volume, update audience signals based on performing in-markets on search to drive more scale on PMax.

Ad Scheduling

- ☐ Review current ad scheduling to ensure peak times are not excluded.*
*if importing from Google, adjust schedule based on time zone of the user.
- ☐ Set up ad schedule to start and stop campaigns that are promotional.

Extensions

- ☐ Create & schedule promotion extensions.
- ☐ Create or update image extensions.

Reporting

- ☐ Use search term insights to refine search themes.
- ☐ Audit audience performance from previous year (if applicable).

August to September

01

New launches or new betas:

Now is the time to launch anything new or try anything new!

02

Restructures

If you have data volume issues, now is the time to restructure and consolidate

03

Micro conversions

If you have data volume issues or want to feed the algo with richer data, now is the time to add these in

04

Feed optimization:

Optimize your feed (titles, descriptions, duplicates etc.) to ensure optimum performance ahead of peak

New and upcoming betas

Performance Max capabilities	Google Ads	Microsoft Advertising
Serving on chat ads	In beta	Serving text, feed-based, and multimedia ads on Copilot
Multimedia ads	N/A	Available for Performance Max and other campaign types
Search term insights report	Available	
Search themes	Available	Available for Performance Max
Brand exclusions (campaign level)	Available	
Audience insights / Asset level conversion reports	Available	
Automated rules / scheduling asset groups	Available	
LinkedIn profile targeting as audience signal	N/A	Available for Performance Max in select markets
Conversion value rules	Available	In pilot For PMax and other campaign types
Disclaimer support	N/A	Available for Performance Max and other campaign types
New customer acquisition goal (purchase goals)	Available	In pilot – July 2025
Asset group level reporting	Available	Available
Budget suggestions for new campaigns	Available	Available
Asset group URL options and tracking templates	Available	Available
Share of voice metrics for <u>PMax</u>	Available	November 2025
Landing page reporting	Available	Q4 CY2025
Self-serve negative keyword support for PMax	Available	Pilot in Q4 CY2025
Experiments and incrementality testing support	Available	Pilot in Q1 CY2026
Channel performance reporting	Available	Pilot in Q1 CY2026
Support for vertical ads , additional controls, reporting views	Available	<i>Coming in the future</i>

Example ways you can break out your PMax campaign



Product type or category



Brand and non-brand



Profit margin
(cheap, medium, expensive)



Audience segments



"Catch-all" asset group

Additional considerations for structure

Consolidate Campaign Structure: Microsoft AI optimizes performance across channels using a unified budget.

Multiple Asset Groups: Bundle assets in sets or themes within the same campaign (e.g., dinner plates vs. bowls).

Audience Signals: Create asset groups relevant to specific audience signals (e.g., Customer Match lists).

Holiday-Specific Asset Groups: You can create **new** holiday-specific asset groups within existing campaigns to avoid disrupting evergreen products.

Note: it can take up to one day for assets to ramp fully.

When to create multiple Performance Max campaigns

Sometimes for holiday, it might be better managing separate Performance Max campaigns as opposed to just multiple asset groups.

01

Campaigns for different **countries, languages..**

02

Different **budgets** or ROAS **targets** for new or top-selling products, seasonal moments or different shop locations.

03

Seasonal moments: if prioritizing certain types of products during festive seasons with different budgets and targets.

Notes for using multiple Performance Max campaigns:

- Max 300 PMax campaigns per account. Have as many asset groups as needed.
- Minimum 30 conversions in 30 days.
- The algorithm should differentiate based on the search terms and ad descriptions to avoid cannibalization. You can check the product ad search term reports between campaigns to verify.

Lower your ROAS target to boost visibility in the lead-up to peak periods, while people are still browsing.

If still having low volume for Performance Max to work with, you can add in **micro conversions**

Adding “add to cart” as a secondary micro conversion to serve as an intent signal outside of just purchases



Available conversion goals:

Conversion type	Sales categories	Leads categories	Other categories
Website	• Purchase • Add to cart • Begin checkout • Subscribe	• Submit lead form • Book appointment • Sign-up • Request quote • Get directions • Outbound click	• Contact • Page view • Other
Mobile app install	—	—	• Download
Offline	• Purchase • Add to cart • Begin checkout • Subscribe	• Submit lead form • Book appointment • Sign-up • Request quote • Get directions • Outbound click	• Contact • Page view • Store visit • Other

Feed audit checklist



THE BASICS

- Required fields
- No duplicate titles
- Proper formatting
- GTIN/MPN
- Correct pricing
- Product page URLs
- Include all products



THE OPPORTUNITIES

- Strong titles
- Long descriptions
- Optimised images
- Optional fields
- Product categorisation
- Routine updates



HOLIDAY STANDOUTS

- Sale prices
- Merchant promotions
- Local Inventory ads
- Curbside pickup
- Free shipping
- Additional images

October

01

Seasonal messaging launch

Now is the time to launch seasonal copy & assets and get testing with Ads Studio!

02

Gather search terms and add seasonal search themes

Use the Search Term Insights report to find strong performing search queries. Adding seasonal search themes for PMax will act as an additional signal / won't limit volume

03

Finish up testing any new bid strategies

If you're A/B testing new bid strategies, you must decide on your peak approach by mid-October to allow the new strategy to learn.

04

Budgets & targets

Look at last year's CPC changes and begin to incrementally lower ROAS targets to allow further volume, and account for the increased competition.

Creative best practices

BEST PRACTICE

Choose relatable, compelling images, preferably without text

Leverage the Ad Preview tool

Turn on auto-generated assets to improve performance

Regularly leverage performance reporting to refresh assets as needed

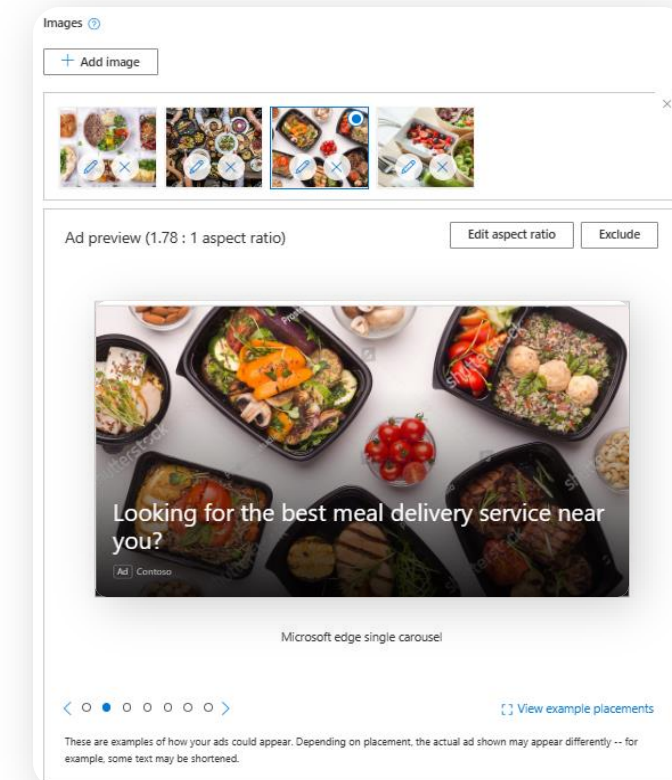
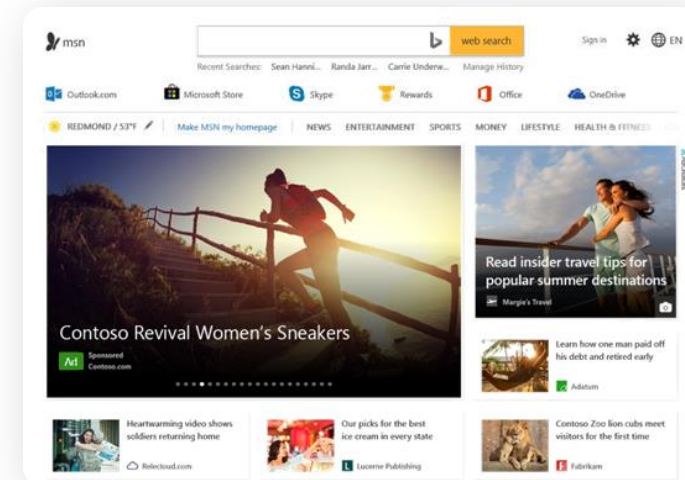
PRO TIP

Lifestyle photos (e.g. a woman running instead of just a picture of a running shoe) are more compelling, as are images with people experiencing an **emotion**.

If overlaid text is required, naturally integrate them in the center of the image.

The ad preview should be representative of how the ads will appear. If you don't like how a certain version looks in the preview, you can **exclude the ratio**.

As necessary, you can **delete any assets (including auto-generated assets)** that aren't performing well for your campaigns.



Refine your assets for holiday with Ads Studio

- Enter a prompt to describe what your campaign and target audience to help Copilot generate asset themes.
- You can choose from one or multiple themes.
- You can also rewrite copy with a given holiday prompt.
 - Find similar short headlines
 - Try a different tone
 - Revise

Refine your asset recommendations

Select **Refine** to get updated recommendations by providing new descriptions or select **Remove assets** to remove all assets from the current asset group.

Refine

Remove assets

Get asset recommendations ✕

Final URL: <https://www.contoso.com/>

Provide a description of your product.

 Microsoft Advertising will use the descriptions that you provide to generate new asset recommendations. If your description doesn't match your website's content, we'll generate recommendations entirely from your Final URL.

Highlight what you'd like to include in your ads.

0 / 300



Choose the themes you'd like to add to your asset group. 

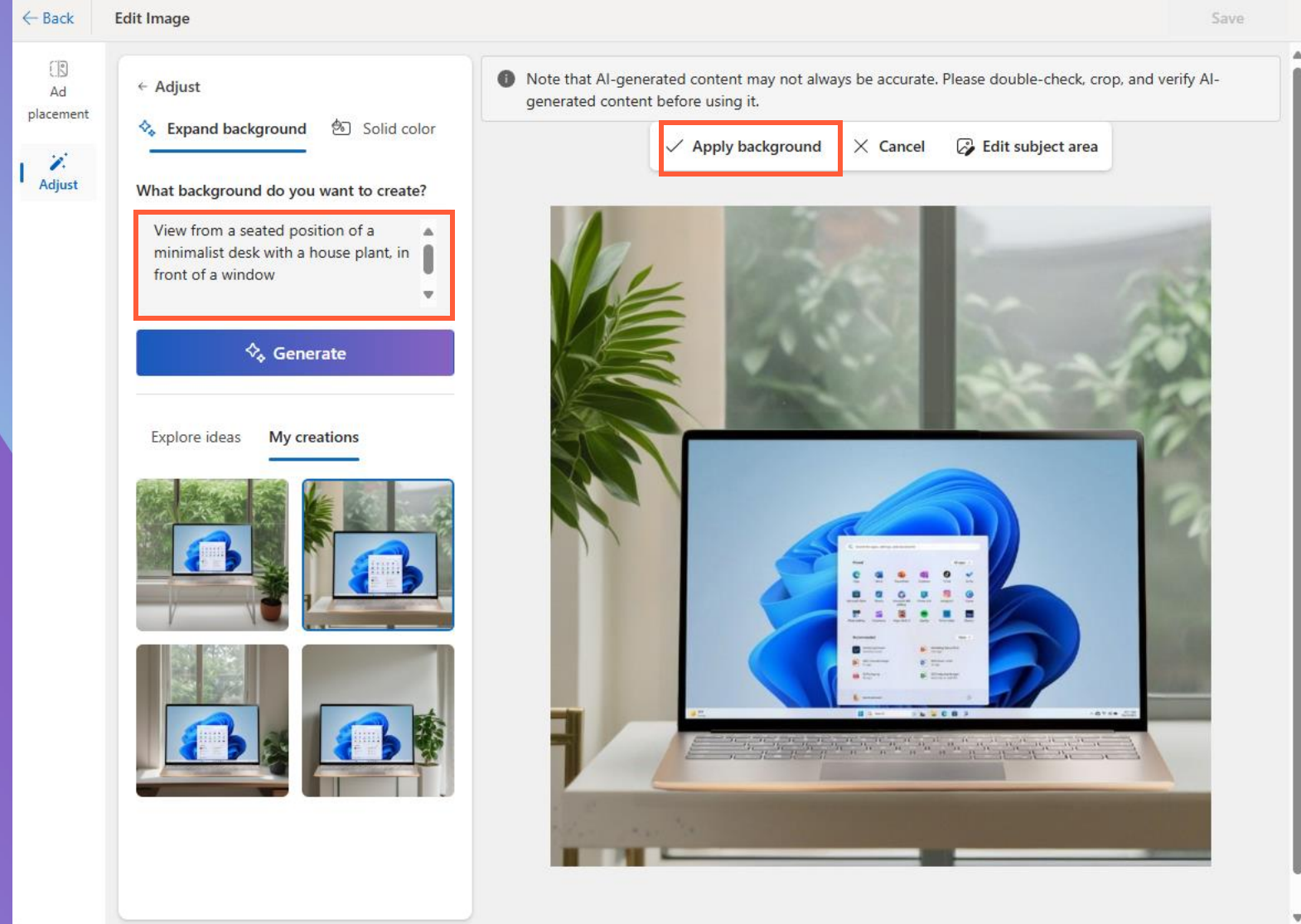


Apply

Cancel

Create a background with AI

- Type in a text prompt to generate a new background
- Hover over example images to see example prompts
- Click **Apply background** to add to your library. Saved as a copy to your original image.
- See next slide for a holiday example.



Holiday example and best practices for prompting AI

Subject ~~A chocolate cupcake~~

Point of view

**Primary
Setting** Placed on a soft
white blanket

**Secondary
Props** with gift boxes next
to it

**Tertiary
Atmosphere** with snowflake
lights behind it
with a Christmas
atmosphere

CHRISTMAS ATMOSPHERE



HALLOWEEN SCENE



LUNAR NEW YEAR



ROMANTIC SCENE



Search Themes Keys to Success

You can now add up to 50 search themes, up from the previous limit of 25.

Pro Tip: Set up tightly defined, but **diverse**, Search Themes to provide a *specific signal* to more effectively guide the algorithm.

PRODUCT/CATEGORY

ORD Airport ✕ Flights to ORD ✕ Car rentals in Chicago ✕
o'hare car rentals ✕ chicago airport car rentals ✕
full sized car rental ORD ✕ Chicago O'Hare International Airport ✕

SEASONAL

Travel Tuesday ✕ Black Friday Car Rental Discounts ✕
Travel Deals ✕ (Brand Promotion Name) ✕

COMPETITIVE

Enterprise Rent-A-Car ✕ Hertz ✕ Avis ✕
Budget Car Rentals ✕ Thrifty Car Rentals ✕
Expedia Car Rentals ✕ Payless Car Rentals ✕
National Car Rentals ✕ Alamo Car Rentals ✕
Dollar Car Rentals ✕ Sixt Car Rentals ✕
Priceline Car Rentals ✕ Kayak Car Rentals ✕

Gather search theme ideas with search term insights

The screenshot displays the Microsoft Advertising interface. On the left, a sidebar lists navigation options: Ads Studio, Import, Reporting (highlighted), Merchant Center, Billing, and Settings. The main content area shows the 'Search terms insights' section under the 'Recent' tab. A purple box highlights the 'Search terms insights' template in the 'Recently used templates' section. To the right, a 'Reporting' panel shows the 'Search terms insights' report with a 'Modify' dropdown menu. A 'REMINDER' box at the bottom right lists instructions: 'Add Search term in the modify column' and 'Add revenue/ROAS in metrics'.

- **Tip:** You can add search themes (up to 25) based on top queries. *Refreshing and adding new search themes for PMax will act as an additional signal and won't limit volume.*

Seasonal in-market audiences

Seasonal segments are lists of people ready to buy for a particular event, like Black Friday or Christmas.

Seasonal segments use the same audience intelligence as existing In-market audience segments, and are infused with additional signals related to the seasonal event to deliver a relevant user segment of likely converters.

Back-to-School segments

US, CA

- Seasonal shopping/back-to-school apparel and accessories

Black Friday segments

US, CA, UK, DE, FR, AU, NZ

- Seasonal shopping/Black Friday shopping.
- Seasonal shopping/Black Friday shopping/in-store Black Friday shopping.
- Seasonal shopping/Black Friday shopping/online Black Friday shopping.

Other Seasonal segments

Global for advertisers targeting India

- Seasonal shopping/India Independence Day
- Seasonal shopping/Rakhi (Rakshabandhan) Festival

Christmas holiday segments

US, CA, UK, DE, FR, AU, NZ

- Seasonal shopping/Christmas shopping
- Seasonal shopping/Christmas shopping/after-Christmas sale shopping
- Seasonal shopping/Christmas shopping/in-store Christmas shopping
- Seasonal shopping/Christmas shopping/online Christmas shopping

Mother's Day segment

US, CA, UK

Seasonal shopping/Mother's Day shopping

Valentine's Day segment

US, CA, UK, FR, DE, AU

Seasonal shopping/Valentine's Day shoppers



Automated bidding tips for peak promotions success

BEST PRACTICE

PRO TIP

Reminder: Avoid capping your budgets

Hitting your budget caps should be avoided; it is better to use **targets** to control spend.

Leverage the bid landscape tool

You can create a simulation of your campaign's performance using different targets.

Make target and budget changes as needed, and phase target changes gradually where possible

Phase large changes in **15%** increments gradually when possible.

Budget updates are fast (within six hours), but ideally target changes should be set a week early when possible, to avoid volatility.

Leverage seasonality adjustments for peak moments

Leverage **seasonality adjustments** where needed if you can anticipate conversion rate changes.

Reminder: Check conversion delays when analyzing your performance

Showcasing conversion delay helps advertisers make more informed decisions by revealing how long it typically takes users to convert after interacting with an ad, enabling better attribution, budgeting, and campaign optimization.

Campaigns		Auction insights	
+ Create ▼		🔍 Status: All campaigns + Add filter	
☐	Campaign	↓ Conv. ?	Conversion delay ?
	Overall total - 108 campaigns	946,440.00 📄	4
☐	● AutoBidding Status Test 27	▲ 177,680.00 📄	4
☐	● test faddagarsafdsafdsf	▲ 146,600.00 📄	4
☐	● AutoBidding Status Test 23 ✎	▲ 146,600.00 📄	4
☐	● stand shopping + mcv + no target	▲ 115,520.00 📄	4
☐	● Test-BothStatus	▲ 115,520.00 📄	4
☐	● smart shopping + mcv + roas	▲ 84,440.00 📄	4
☐	● MaxConv-G10909300744	▲ 84,440.00 📄	4
☐	● Shopping - TRoas - PBS	▲ 53,360.00 📄	4
☐	● mcv - test 1	▲ 22,280.00 📄	4

For the selected time range:
Conversions reported as of July 25, 2025: 21.83%
90% of conversions expected in 4 days
99% of conversions expected in 4 days

Real time insights

Visibility into current progress on click to conversion, projecting duration when 90% and 99% of clicks to conversion over times.

Simplified management

Effortlessly view insights displayed directly as a new metric with a column and a simple hover on conversions.

Note: conversion delay data is only available after 06/01/2025. For any selected time range including 06/01/2025, we will only return conversion delay data after 06/01/2025.

Other things to know

01

Any conversion goal-related change, such as changing the goal definition, creating a new goal, or making a goal main/non-main, can be considered a tangible change that can impact auto bidding optimization.

02

If you don't or can't upload offline conversions daily, we recommend not using Target CPA or Target ROAS. For best results, upload offline conversions within two days of the conversion.

03

Conversion delay is the number of days between a click and a conversion. As this can vary for each click, we loosely define it as the number of days it takes for 90% of the conversions to materialize.

04

As auto bidding involves machine learning models, all suggestions shared are general guidance and not hard rules unless specified otherwise. There are always likely to be some exceptions based on specific nuanced scenarios.

05

To optimize well, a portfolio needs at least 30 conversions in the last 30 days. This total can come from one or multiple campaigns within the portfolio.

November – December

- 01 Asset refresh and search theme refresh**
Refresh assets + search themes with Christmas copy post Cyber week
- 02 Budgets & targets**
Allow budgets to be uncapped or significantly increased. Budget changes should generally adapt within hours, and it's best to adjust targets in <15% increases when possible.
- 03 Seasonality adjustments**
Real-time adjustments: use these for Cyber Weekend or any sales <1 week long when you can anticipate conversion rate changes
- 04 Consider implementing conversion value rules (in pilot)**
You can set these for locations, devices or audiences

Other automated bidding holiday/peak period FAQs

Can the Automated Bidding algorithms react to spikes in volume on key days?

- Yes, spikes in volume on key days are contributed not just by a shift in the user's propensity to convert, but also by shifts/increases in highly converting search/supply, for which Microsoft already has information on the conversion behavior. Since Microsoft also has information on user behavior on these key days from the past year, the Automated Bidding will have the required signals to react to spikes on key days.
- Keep in mind that Automated Bidding continues to learn incrementally and is in auction time.
- If the conversion rate change during the spike can be anticipated, consider setting up Seasonality Adjustments.

Can we change the target (for Target CPA or Target ROAS) on the peak day or just the day before?

- Yes. Thanks to the recent improvements in Automated Bidding, gradual target/budget changes are not necessary. Auto Bidding will start responding to the new targets within hours. Smaller target adjustments (typically under 15%) tend to require less time to adapt. Additionally, note that the time it takes to achieve the new target depends upon conversion volume and conversion delay so please take that into account while evaluating performance.
-

Other automated bidding holiday/peak period FAQs

Is there a conversion minimum requirement to use Target ROAS/ Target CPA?

- There are no minimum requirements, however it is always recommended to allow sufficient conversion history (30 conversions over last 30 days for example) to build to drive optimal performance. Keep in mind that Automated Bidding continues to learn incrementally and is auction time.
- To try and drive more conversions to hit the threshold, consider updating targets, refreshing assets, and ensuring auto-generated assets and final URL expansion are turned on.

Can you share more details on how budget changes impact the responsiveness of the algorithm?

- Budget changes are treated in a similar way as target changes (for target-based strategies). Important consideration is to avoid budget capping the campaigns as that restricts the bid strategy greatly.

Does my account structure like granular asset groups help with Automated Bidding performance?

- In general, if you have fewer well-structured campaigns with similar performance expectations (e.g., SKUs with similar ROAS, brand vs. nonbrand), the greater potential for better Automated Bidding performance. Avoid creating granular campaign structure as they can create silos and do not enable auto bidding to optimize across a broader pool of supply.

How to create a seasonality adjustment

- **Navigate to Tools:**
 - From the navigation menu on the left, select **Tools > Bids & Budgets**.
- **Access Seasonality Adjustments:**
Select Advanced Controls > Seasonality Adjustments.
- **Create a New Adjustment:**
Click Create.
- **Enter Details:**
Name: Provide a name for your seasonality adjustment.
Description (Optional): Add a description for clarity.
- **Set Time Period:**
Choose the Start Time and End Time for the adjustment.
Note: *The date range must be 14 days or less.*
- **Define scope & select devices**
- **Define conversion rate adjustment**
- **Save:**
Click Save to finalize your seasonality adjustment.

Bids & budgets
Optimize your campaigns with bids and budgets.

Seasonality adjustments
Data exclusions

Optimize your bids for a short period of time when you expect

+ Create **+ Add filter**

Name Scope ?

Seasonality adjustments **Data exclusions**

Create a seasonality adjustment

Name
Enter a name for your seasonality adjustment

Description
Enter a description for your seasonality adjustment (optional)

Start time ? **End time** ?

Select time Select time

Scope ?

☒ **Campaign type** ?

☒ Search ☒ Shopping ☒ Performance Max

☐ **Specific campaigns**

Devices ?

☒ Computers ☒ Smartphones ☒ Tablets

Conversion rate adjustment ?

Increase Enter a percentage %

Save **Cancel**

Conversion value rules

Better express the value of conversions as they relate to your business

Conversion value rules allow you to adjust your conversion values if the conversion meets certain conditions (or rules) that may be relevant to your business goals. You can set conditions for **locations**, **devices**, and **audiences**.

Example:

Let me choose specific locations

Search for location

Enter a location to target or exclude

For example, the US, a state, coordinates in the US, or a ZIP code.

Targeted locations

Remove all

Within New York, New York, United States

Excluded locations

Remove all

Within Brooklyn, New York, United States

For locations you want to include, adjust values for

☒ People in your targeted locations

☐ People searching for or viewing pages about your targeted locations

For locations you want to exclude, adjust values for

☐ People in your targeted locations

☒ People searching for or viewing pages about your targeted locations

Value adjustment ⓘ

Add

Add

Multiply

2

Conversion value rule preview

If Location: New York, ...

And Audience: All audiences

Then Multiply 5.5

Optimize your true business goals

Better reflect your business' data and optimize to what matters, like revenue or lifetime value.

Simplified management

Enhance reporting and optimization directly from your Microsoft account, without having to change any tagging code.

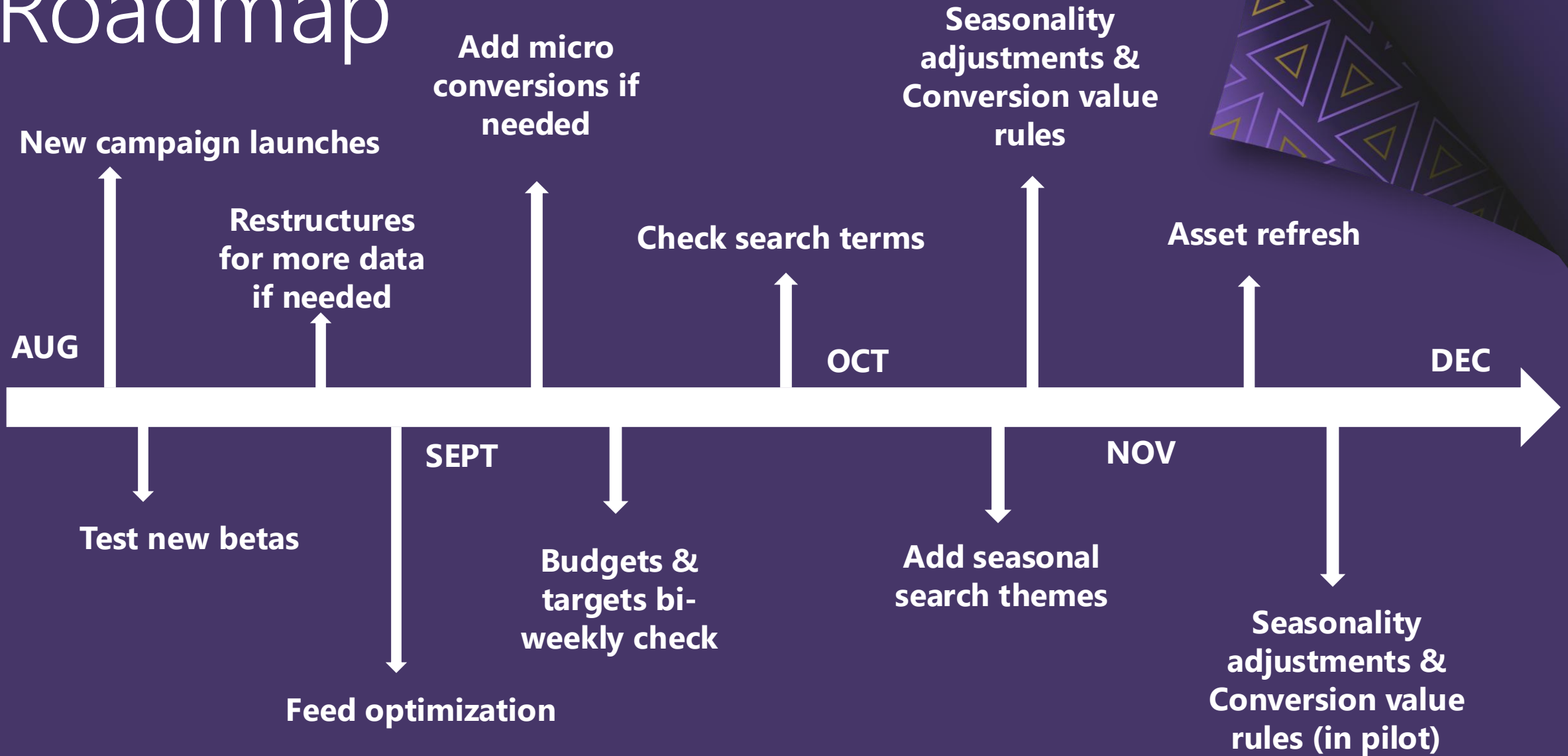
Control your message

Conversion value rules allow you to optimize for nuanced values in real-time with conversion-based automated bidding strategies (Target ROAS and Maximize Conversion Value only)

Note: Currently only supported at the account level, not campaign level

Currently does not support store visit goals

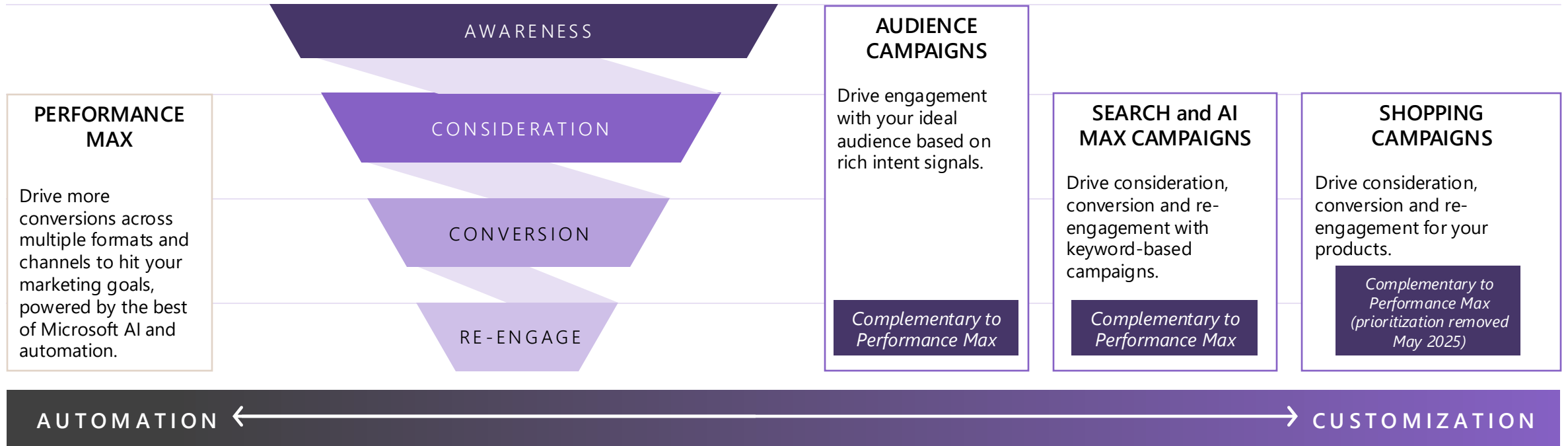
Roadmap



How to reach your goals throughout the funnel



Performance Max complements and augments your existing Microsoft Advertising strategy across the funnel



Performance Max delivers *the best of Microsoft AI and automation* to drive results based on your marketing goals

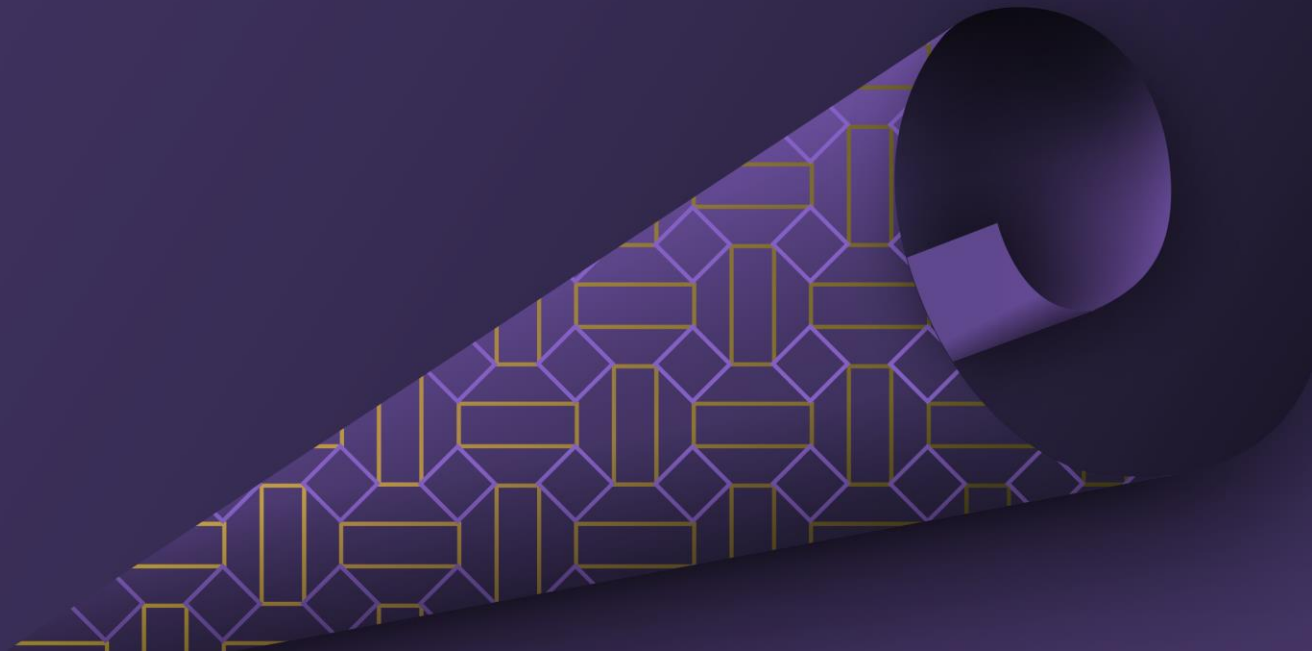
Audience, search, and shopping campaigns can help you drive more volume with a more *customized strategy*

Appendix

Seasonality adjustments

Data exclusions

Available reporting



Duration of learning period and elements contributing to the learning process

The learning period is applicable only to new campaigns or bid strategies (initial 2 weeks). After this phase, incremental optimization such as adjustments to bids, targets, or budgets won't initiate a new learning period although ongoing optimization will continue. The degree of learning is influenced by factors like change magnitude, conversion numbers, and any conversion delays, potentially leading to a brief adjustment period.

Scenario	Learning period	Incremental optimization
A new campaign/ portfolio has been newly created or a campaign/ portfolio has been moved to a new bid strategy.	Initial learning period is 2 weeks, however higher conversions can contribute to a shorter learning period and lower conversion contribute to longer learning period. Our platform usually needs 2 weeks to optimize for your campaign. Avoid changing budgets or conversion goals during this period, as this may cause the learning period to prolong. We recommend <i>not</i> evaluating the bid strategy's performance based on these 2 weeks.	Not applicable
A campaign/portfolio has added/removed a main conversion goal.	Not applicable	Incremental optimization is 2 weeks + conversion delay, however higher conversions can contribute to a shorter learning period and lower conversion contribute to longer learning period. Let your campaign run for 2–4 weeks and then start evaluating the bid strategy's performance. Keep conversion delay in mind while evaluating performance and refer to our best practices .

Note: Changes are not recommended during the initial learning period after starting a new campaign or bid strategy.



Things to know about seasonality adjustments

1. Use only for temporary events causing major change to conversion rates.
2. Ideal for short events up to seven days long. It is not recommended to use them for longer periods.
3. They have a significant performance impact. It is an advanced tool for cases when you are confident in the conversion rate changes.
4. They only work for tROAS and tCPA campaigns. If the adjustment is applied to a different strategy, that signal will not have any effect.
5. They can't be used for data exclusion. This functionality only applicable to future events and only works as an additional signal to algorithms.

CAMPAIGN TYPES



- Supported: Search*, Shopping, Dynamic search ads, Performance Max.
- Not Supported: Microsoft audience ads.

BID STRATEGIES SUPPORTED



- Target return on ad spend (tROAS) and target cost per acquisition (TCPA).
- Portfolio bid strategies not supported.

Best practices with seasonality adjustments

Campaigns using Seasonality adjustments will need to have stable performance with automated bidding and already completed their learning period.

Seasonality adjustments should not be used to address initial learning period fluctuation.

- You can create multiple adjustments targeting various campaigns or various time periods.
- If multiple adjustments target the same campaign, all adjustments will be applied.
- Seasonality adjustments can be applied to campaign experiments if both experiment and original campaigns are targeted.

USE CASES

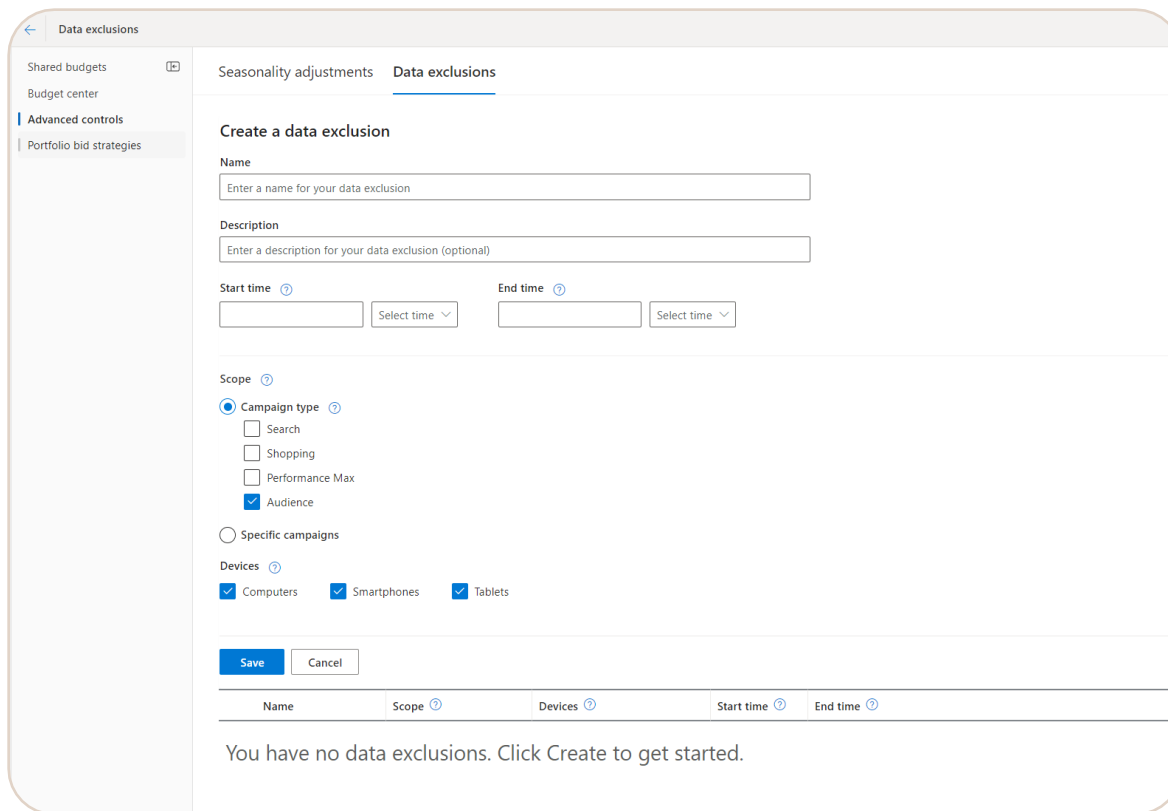


- Preparing for peak travel times during holidays to capture increased demand for booking flights in the weeks leading up and help re-adjust the days after the holiday travel peak.
- Getting setup for success in the days leading up to, during, and right after cyber week (Black Friday, Cyber Monday, etc.).

Data Exclusions

Instruct Automated Bidding to accommodate your needs if website issues arise

Data Exclusions will help inform Automated Bidding algorithms in case there is a data outage on your website or any other unintended conversion tracking changes.



The screenshot shows the 'Data exclusions' interface in Google Ads. On the left is a sidebar with navigation links: 'Shared budgets', 'Budget center', 'Advanced controls' (selected), and 'Portfolio bid strategies'. The main area is titled 'Data exclusions' and contains a 'Create a data exclusion' form. The form has fields for 'Name' and 'Description'. Below these are 'Start time' and 'End time' dropdown menus. The 'Scope' section has two radio buttons: 'Campaign type' (selected) and 'Specific campaigns'. Under 'Campaign type', there are checkboxes for 'Search', 'Shopping', 'Performance Max', and 'Audience' (checked). The 'Devices' section has checkboxes for 'Computers', 'Smartphones', and 'Tablets', all of which are checked. At the bottom of the form are 'Save' and 'Cancel' buttons. Below the form is a table with columns: 'Name', 'Scope', 'Devices', 'Start time', and 'End time'. The table is currently empty, and a message at the bottom states: 'You have no data exclusions. Click Create to get started.'

Ability to give precise information

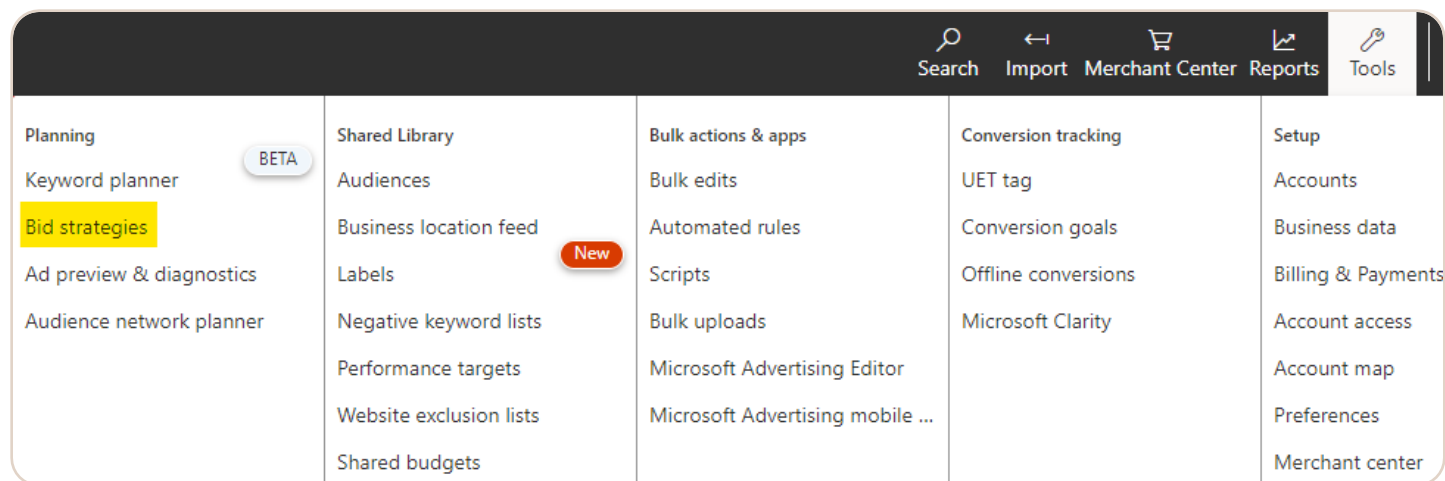
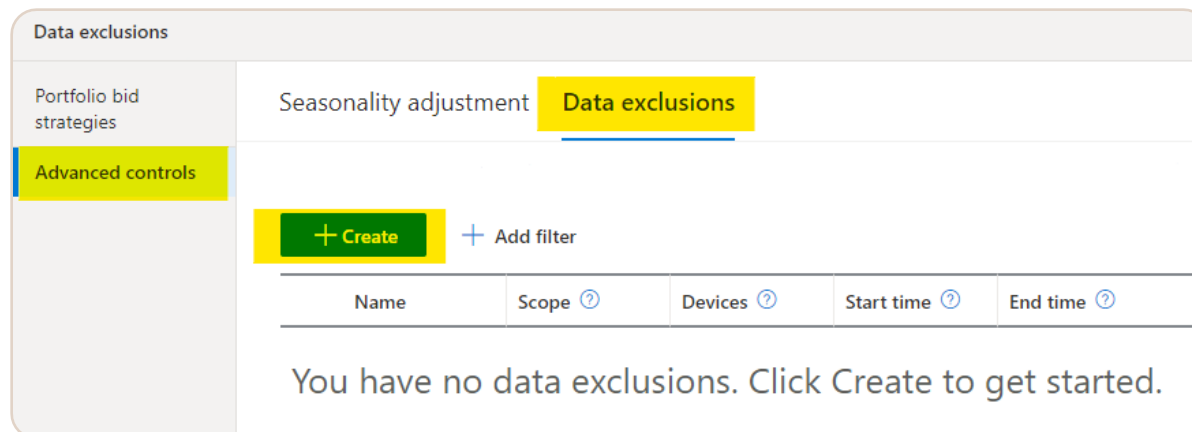
Inform Automated Bidding algorithms of the specific date, time, scope, and devices related to the conversion tracking errors or outages so that the erroneous conversion data can be excluded in optimizations.

Maintain optimal performance

Minimize the time needed for Automated Bidding strategies to recover after the conversion tracking error is fixed.

How to create a Data Exclusion

1. From the top menu, select **Tools** > **Bid Strategies**
2. Select **Advanced controls** > **Data Exclusions**
3. Click "Create" button
4. Enter the details of the exclusion.
5. Select **Save**.



Available reporting

Note: additional reporting views and formatting options coming to PMax in the future

PERFORMANCE

ASSET DETAILS

EXTENSION

ASSET GROUP

AUDIENCE INSIGHTS

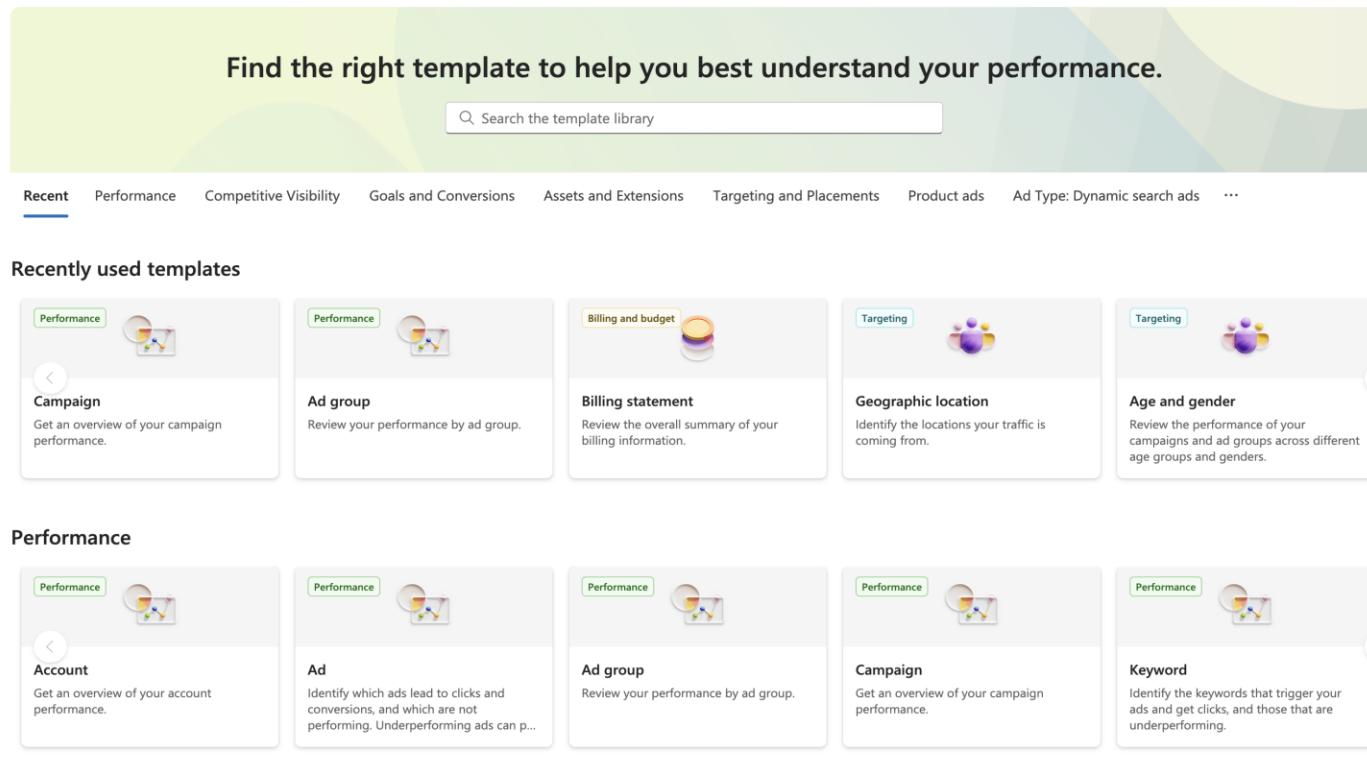
TARGETED DEVICE / LOCATIONS

ALL PRODUCT AD-RELATED
REPORTS

WEBSITE URL (PUBLISHER) –
IMPRESSIONS ONLY

New Reporting UI: revamped home page and custom report builder

[Help documentation: Understanding the Report Builder](#)



Redesigned reporting homepage

With recommended reports and templates

Faster, more intuitive editing experience

Categorized breakdowns and metrics and dynamic updates as you make changes

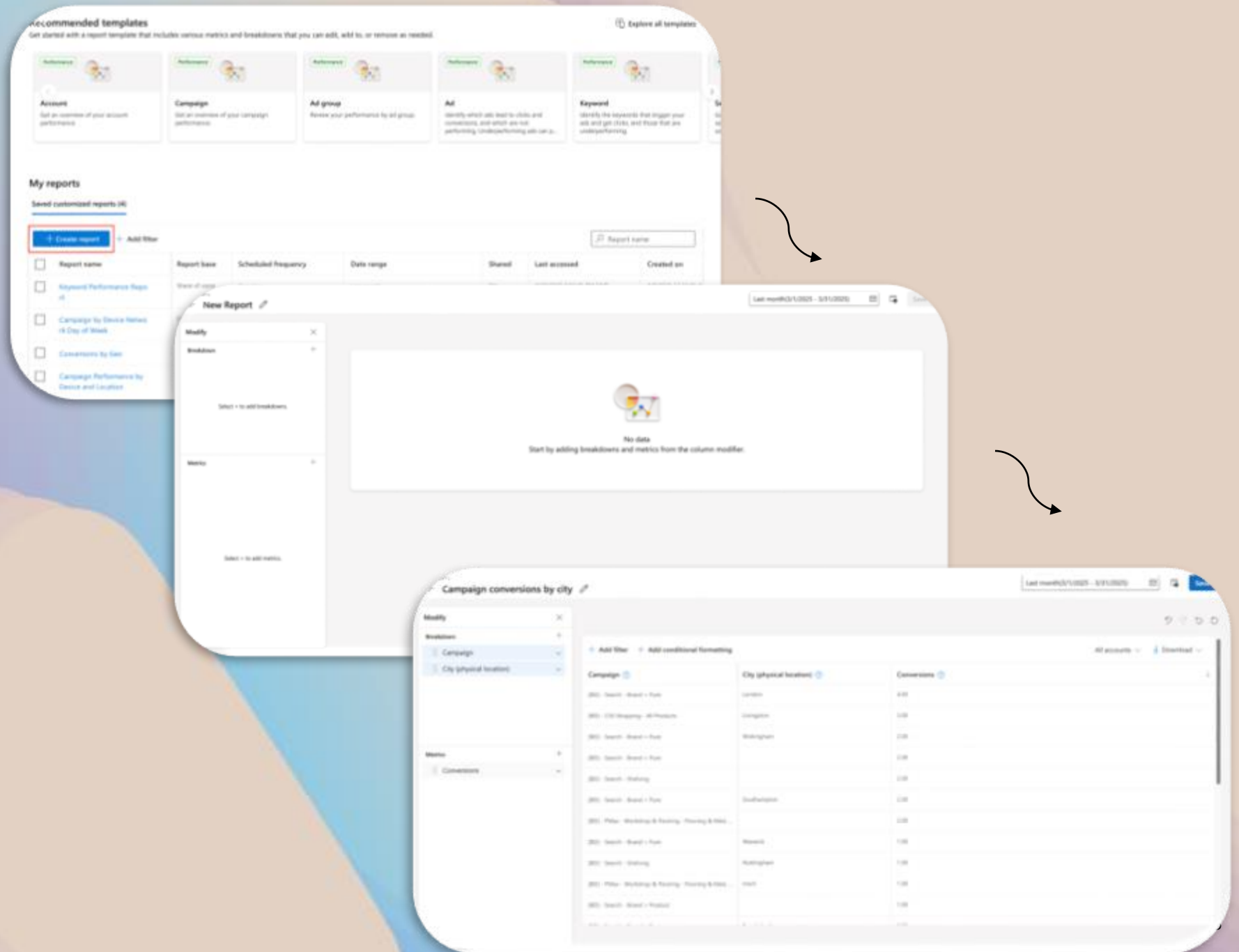
Reusable custom reports

Saved to your profile and accessible across all the accounts you manage

REPORTS BUILDER

Easily create
custom reports
from scratch
using the new
Report Builder

Go beyond pre-defined
Templates with our
enhanced Report Builder.



Shopping Product Dimension Report

This report is helpful to filter by products/brand/category/product type and allows you to exclude nonperforming product(s).

Default reports > Product dimension

Scheduling frequency: None, Shared: No

Last month(9/1/2024 - 9/30/2024)

Ad content was not approved and more

Product dimension

+ Add filter + Add conditional formatting

All accounts Download

Account	Campaign	Ad group	Merchant product ID	Title	Imp
The North Face, PM Digi...	US all Hybrid SHOP - AUT - All - All Margin - Catch-All - PMax Shopping		NF0A2U0P4FY5REG1	The North Face Wo...	70
The North Face, PM Digi...	US all Hybrid SHOP - AUT - All - All Margin - Catch-All - PMax Shopping		NF0A2U0P9K33LSHT1	The North Face Wo...	1
The North Face, PM Digi...	US all Hybrid SHOP - AUT - All - All Margin - Catch-All - PMax Shopping		NF0A2U0P9K33LSHT1	The North Face Wo...	42
The North Face, PM Digi...	US all Hybrid SHOP - AUT - All - All Margin - Catch-All - PMax Shopping		NF0A331H4110701	The North Face Wo...	2
The North Face, PM Digi...	US all Hybrid SHOP - AUT - All - All Margin - Catch-All - PMax Shopping		NF0A331H8W0701	The North Face Wo...	2
The North Face, PM Digi...	US all Hybrid SHOP - AUT - All - All Margin - Catch-All - PMax Shopping		NF0A331HKY40701	The North Face Wo...	135
The North Face, PM Digi...	US all Hybrid SHOP - AUT - All - All Margin - Catch-All - PMax Shopping		NF0A331HKY40801	The North Face Wo...	43
The North Face, PM Digi...	US all Hybrid SHOP - AUT - All - All Margin - Catch-All - PMax Shopping		NF0A331HKY41101	The North Face Wo...	6
The North Face, PM Digi...	US all Hybrid SHOP - AUT - All - All Margin - Catch-All - PMax Shopping		NF0A39UXXY40401	The North Face Kids ...	11
The North Face, PM Digi...	US all Hybrid SHOP - AUT - All - All Margin - Catch-All - PMax Shopping		NF0A39UXXY41101	The North Face Kids ...	17
The North Face, PM Digi...	US all Hybrid SHOP - AUT - All - All Margin - Catch-All - PMax Shopping		NF0A3C8D5DXL1	The North Face Men...	15
The North Face, PM Digi...	US all Hybrid SHOP - AUT - All - All Margin - Catch-All - PMax Shopping		NF0A3C8D5DXL1	The North Face Men...	7
The North Face, PM Digi...	US all Hybrid SHOP - AUT - All - All Margin - Catch-All - PMax Shopping		NF0A3C8D5POS1	The North Face Men...	35
The North Face, PM Digi...	US all Hybrid SHOP - AUT - All - All Margin - Catch-All - PMax Shopping		NF0A3C8D5POXL1	The North Face Men...	56
The North Face, PM Digi...	US all Hybrid SHOP - AUT - All - All Margin - Catch-All - PMax Shopping		NF0A3FX1X1O5SHT1	The North Face TNF ...	3
The North Face, PM Digi...	US all Hybrid SHOP - AUT - All - All Margin - Catch-All - PMax Shopping		NF0A3FN3QLUC51	The North Face TNF ...	12
The North Face, PM Digi...	US all Hybrid SHOP - AUT - All - All Margin - Catch-All - PMax Shopping		NF0A3FYOKX90601	The North Face Todd...	47
The North Face, PM Digi...	US all Hybrid SHOP - AUT - All - All Margin - Catch-All - PMax Shopping		NF0A3JQLE4M1	The North Face Men...	19
The North Face, PM Digi...	US all Hybrid SHOP - AUT - All - All Margin - Catch-All - PMax Shopping		NF0A3K3BKX70601	The North Face Wo...	19
The North Face, PM Digi...	US all Hybrid SHOP - AUT - All - All Margin - Catch-All - PMax Shopping		NF0A3K3BKX70701	The North Face Wo...	42

Modify columns

Select Add to customize the report columns. Then, drag and drop the columns to rearrange them into the order you want to view them in. You can also modify columns using the arrow keys.

Available Columns

Expand all Collapse all Add all

Column name

All (109)

Attributes (57)

- Account
- Account ID
- Account number
- Account status
- Campaign status
- Ad group status
- Campaign
- Campaign ID
- Campaign type
- Ad group
- Ad group ID
- Asset group
- Asset group ID
- Asset group status
- Ad ID
- Ad status
- Currency

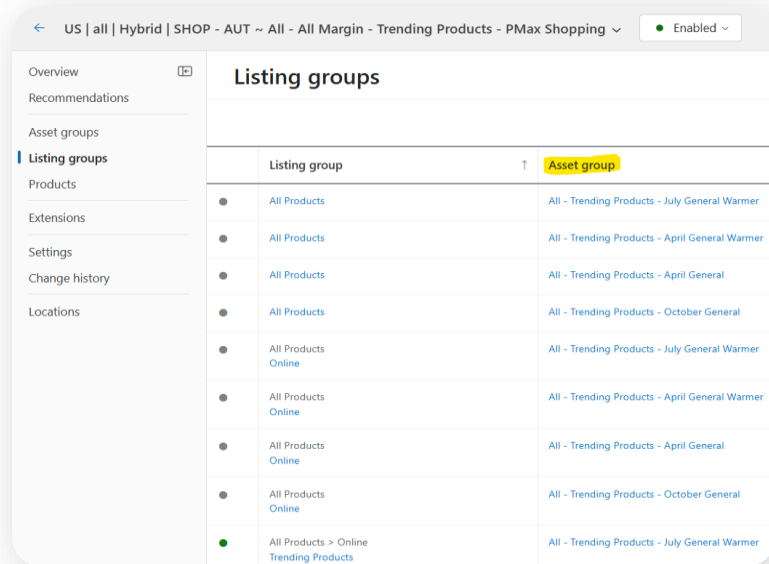
Selected Columns

Remove all

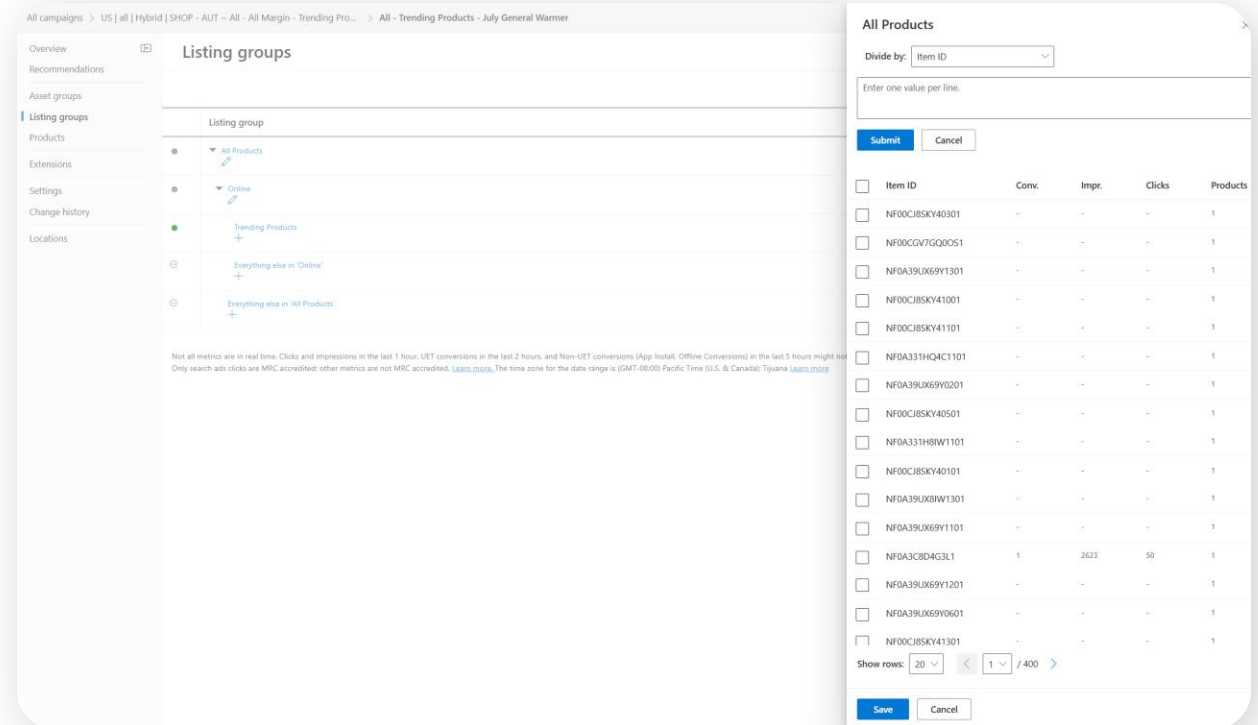
- Account
- Campaign
- Ad group
- Merchant product ID
- Title
- Impressions
- Clicks
- CTR
- Avg. CPC
- Avg. CPM
- Spend
- Absolute top impression rate
- Asset group
- Conversions
- Revenue
- Return on ad spend
- CPA

Save Cancel

Shopping Performance Dimension Report (cont).



1. Click into an Asset Group to start excluding specific targets.



2. Under Listing Groups, use the pencil icon and filter by the target you would like to exclude. Hit Save and on the Green Radio button make sure to Exclude the products you have selected.

Product dimension report

The **product dimension** report shows performance data at the **product level**.

- The campaign and ad group can be included but the product group cannot be added.
- This report includes **product details** from the feed like brand, custom labels, product type, and category.
- If there are changes to product details during the timeframe, the change should show in the report (except price).

Date	Campaign	Ad group	Merchant produ...	Title	Impressions	Clicks	Spend	Custom label 0	Custom label 1	Custom label 2
2022-09-30		Low Priority		Big Accessories BX8...	1	0	0.00	Less expensive:Other	medium_inventory:h...	sublimation_not_reco...
2022-10-13		Low Priority		Big Accessories BX8...	2	0	0.00	Less expensive:Other	medium_inventory:h...	sublimation_not_reco...
2022-09-26		Low Priority		Big Accessories BX8...	1	0	0.00	Same price:Other	medium_inventory:h...	sublimation_not_reco...
2022-10-14		Low Priority		Big Accessories BX8...	3	0	0.00	Less expensive:Other	medium_inventory:h...	sublimation_not_reco...
2022-10-12		Low Priority		Big Accessories BX8...	1	0	0.00	Less expensive:Other	medium_inventory:h...	sublimation_not_reco...

Recommended Uses:

- Check if products are delivering under the correct campaigns.
- Check if products stopped or started delivering during traffic shifts.
- Identify top performing products or low/underperforming products.
- Utilize custom labels to bucket products that need special optimization (zombie SKU, ROAS buckets, etc).

Listing Groups can be viewed using Hierarchy View

Underneath your Asset Group > Listing Groups > Hierarchy View > Pencil Icon

All campaigns > Perf Max Campaign w/ store 3 > **asset group1e**

Listing groups

Entire time: 2/6/2021 - 2/6/2024

Columns Expand table

	Listing group	Clicks	Impr.	CTR
●	All Products	0	0	0.00%
⊖	Baby & Toddler	0	0	0.00%
⊖	Business & Industrial	0	0	0.00%
⊖	Cameras & Optics	0	0	0.00%

Pro-tip: Listing Groups can only be filtered after an Asset Group is created.